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Independent Business Review — Executive Summary

Pennington Industries Limited ("the Group")

Addressed to: Sterling Commercial Bank plc and the Directors of Pennington Industries Limited

Final | 18 December 2025 | Strictly private and confidential

Important notice

This Independent Business Review ("IBR") has been prepared by Marlow Tax & Advisory Ltd on the instructions of, and under an engagement letter with, the Directors of Pennington Industries Limited, and is addressed to the Bank under the terms of a reliance letter of even date. It is based on unaudited management information provided by the Group and on assumptions which Marlow has not independently verified. It must not be relied upon by any other party.

1. Background

The Group designs and manufactures industrial centrifugal and submersible pumps, principally for the municipal water and process-industry markets, from its facility in Sheffield. It employs approximately 410 staff. The Group breached its senior financial covenants at the 30 September 2025 test date following a sharp contraction in municipal capital spending and input-cost inflation. We were engaged on 14 November 2025 to assess the Group's viability and the options available to its stakeholders.

2. Current trading and financial position

£m (unless stated)	FY2024	FY2025	FY2026 (f)
Revenue	58.4	49.1	52.7
EBITDA	9.6	6.2	7.8
EBITDA margin	16.4%	12.6%	14.8%
Net senior debt	36.2	41.5	38.9
Net leverage (x)	3.77	6.69	4.99

Note: the September 2025 covenant test (rolling 12-month basis) produced net leverage of 4.80x; the FY2025 year-end ratio above reflects the full-year position.

3. Funding requirement

Our 13-week and 18-month cashflow analysis indicates a peak funding shortfall of approximately £5.4m arising in Q1 2026, driven by working-capital unwind and the cost of the turnaround. We consider that new committed funding of £6.0m, together with a £2.0m equity injection, is sufficient to bridge the Group to sustainable cashflow generation, assuming delivery of the turnaround plan.

4. Turnaround plan

Management's plan comprises: (i) closure of the loss-making small-bore product line; (ii) renegotiation of two key supply contracts; (iii) a headcount reduction of approximately 35 roles; and (iv) a refocus on the higher-margin process-industry segment. We consider the plan to be credible, with the principal execution risk being the timing of municipal order recovery.

5. Conclusion and recommendation

In our opinion the Group is viable on a going-concern basis provided that (a) the senior facilities are amended to reset the financial covenants to achievable levels; (b) £6.0m of new super-senior funding is made available; and (c) the £2.0m equity injection is completed. A consensual amendment and restatement is, in our view, likely to deliver a materially better outcome for the Bank than any insolvency process, under which we estimate senior recoveries of between 55 and 68 pence in the pound.